



**Starting at
the Beginning:
Basic Security
Investments**

IN THIS PART . . .

Get familiar with basic securities — stocks and bonds, including municipal securities — that form the foundation of an investor's portfolio.

Review the registration procedure that securities go through before they can be sold to the public and find out which securities are exempt from registration.

Distinguish common stock from preferred stock, corporate bonds from U.S. bonds, and municipal bonds from general obligation bonds.

- » Understanding the specifics of registering securities
- » Knowing the types of offerings
- » Spotting exempt securities
- » Testing what you know

Chapter 5

Securities Underwriting: The Process and the Team Players

All issuers of securities need a starting point, just as all securities need a birth date (just not the kind that's celebrated with funny-looking hats and a cake). Most securities go through a registration procedure before the public can buy them. The SIE exam tests your ability to recognize the players and institutions involved in the registration process.

In this chapter, I cover topics related to bringing new issues (securities) to market. You find out about key players, types of securities offerings, kinds of securities that don't need to be registered, and other details about the underwriting process, where firms prepare to raise money from investors for issuers. At the end of the chapter, you get a chance to see how much you've learned by taking a quick exam.

Bringing New Issues to the Market

A lot of things need to happen before securities hit the market. Unless exempt (see later in this chapter) not only do the securities have to be registered, but also, the issuer has to find a broker-dealer (like your firm) to sell the securities to the public. The SIE exam tests your expertise in answering questions about this process.

Starting out: What the issuer does

For an entity to become a corporation, the corporate founders must file a document called a *corporate charter* (bylaws) in the home state of their business. Included in the corporate charter are the names of the founders, the type of business they're running or planning to run, the location of business, the number of shares (authorized shares) that can be issued, and so on. If a corporation wants to sell securities to the public, it has to register with states and the U.S. Securities and Exchange Commission (SEC). Read on for info on how the registration process works.

THE SECURITIES ACTS

Registration helps ensure that securities issued to the public adhere to certain regulations (though anti-fraud rules also apply to exempt securities). The following acts are designed to protect investors from unscrupulous issuers, firms, and salespeople. (See Chapter 16 for details on other rules and regulations.)

Securities Act of 1933: This act (also called the Truth in Securities Act, the Paper Act, the Full Disclosure Act, the Prospectus Act, and the New Issues Act) regulates new issues of corporate securities. An issuer of corporate securities must provide full and fair disclosure about itself and the offering. Included in this act are rules to prevent fraud and deception.

Securities Exchange Act of 1934: The Act of 1934, which established the SEC, was enacted to protect investors by regulating the over-the-counter (OTC) market and exchanges, such as the New York Stock Exchange (NYSE). (Chapter 14 tells you more about markets.) In addition, the Act of 1934 regulates

- The extension of credit in margin accounts (see Chapter 12)
- Transactions by insiders
- Customer accounts
- Trading activities

Trust Indenture Act: This act was originally known as the Trust Indenture Act of 1939 and prohibited bond issues valued at more than \$5 million from being offered to investors without an indenture. The \$5 million was subsequently raised to \$50 million. A *trust indenture* is a written agreement that protects investors by disclosing the particulars of the issue (coupon rate, maturity date, any collateral backing the bond, and so on). As part of the Trust Indenture Act, all companies must hire a trustee who's responsible for protecting the rights of bondholders.

Registering securities with the SEC

Unless the securities are exempt from registration (see “Exempt securities” later in this chapter), when a company wants to go public (sell stock to public investors), it has to file a registration statement and a prospectus (see “Getting the skinny on the issue and issuer: The prospectus” later in this chapter) with the SEC.

The *registration statement* includes

- » The issuer's name, address, and description of its business
- » The company's articles of incorporation (unless previously supplied)
- » The names and addresses of the underwriter(s) and all commissions or discounts they will receive from the sale, either directly or indirectly
- » The price at which the security will be offered to the public
- » The names and addresses of all the company's control personnel, such as officers, directors, and anyone who owns more than 10 percent of the corporation's securities (and how much they hold of the corporation's securities)
- » The estimated net proceeds of the sale from the security to be issued and what the proceeds will be used for, including property (initially), or other businesses to be purchased (if any)
- » The company's *capitalization* (all financing-related debt and equity)

- » Complete financial statements, including balance sheets and income statements
- » Any legal proceedings against the corporation that may affect it
- » Any net proceeds derived from any security sold by the issuer in the previous two years, along with the underwriter's particulars
- » The names and addresses of the attorneys who have vouched for the legality of the issue and a copy of their opinion(s) on the legality of the issue
- » Any agreements or indentures that might affect the securities being offered



REMEMBER

The preceding information regarding the registration statement is known as *Schedule A*, and it typically applies to corporations issuing new securities. A *Schedule B* applies to local government issues (typically, municipal bonds). The information required when a local government issues securities is — as you can imagine — geared to what a local government would have to supply in its registration statement. Most of the information required is very similar; in fact, you can substitute *municipality* for *company* or *corporation* for most of the items required. You need to know the name of the borrowing government or subdivision, what it's raising the money for, the amount of funded (long-term) debt and the amount of unfunded (short-term) debt there will be after the new security is issued, whether the issuer has defaulted on debt in the past 20 years, the names of all people involved (in other words, attorneys, underwriters, and so on), commission to be paid to the underwriters, copies of the agreements made with the underwriters, a legal opinion made by the attorney with regard to the legality and possible tax-free nature of the issue, and so on.

Because the registration process to sell securities is a somewhat daunting and costly process for issuers, they may register more securities than they may need to sell now. *Shelf registration* (SEC Rule 415) allows issuers to sell securities that were previously registered with the SEC without additional permission. Shelf registration gives issuers up to three years (depending on their status) to sell previously registered shares.

Awaiting approval: The cooling-off period

After the issuer files a registration statement (the filing date) with the SEC, a 20-day cooling-off period begins. During the 20-day (and sometimes longer) period, the good old SEC reviews the registration statement. At the end of the cooling-off period, the issue will (ideally) be cleared for sale to the public (the effective date of registration). In the event that the registration statement must be amended or additional information is needed, the SEC issues a deficiency letter and halts the registration process until it receives the required information. If the SEC finds that the registration statement is misleading because the issuer included untrue statements of material fact or omitted a material fact, it issues a *stop order* (*deficiency letter*) which suspends the effectiveness of the registration statement. At this point, the issuer is required to amend the registration statement and answer any questions posed by the commission to continue the registration process.



REMEMBER

Neither the SEC nor any self-regulatory organization approves an issue. The SEC only clears the issue for sale. Also, the SEC is not responsible for making sure that the information included on the registration statement is complete, true, or accurate. As a matter of fact, it's unlawful to represent that the SEC approved of an issue or issuer (known as the No Approval Clause).

During the cooling-off period, the underwriter(s) can obtain indications of interest from investors who may want to purchase the issue. Agents scramble to get indications of interest from prospective purchasers of the securities.



REMEMBER

Indications of interest aren't binding on customers or underwriters. Customers always have the prerogative to change their minds, and underwriters may not have enough shares available to meet every prospective buyer's needs.

A *tombstone advertisement* — a newspaper ad that’s shaped like . . . well, a tombstone (typically, rectangular with black borders) — is an announcement (but not an offer) of a new security for sale. It’s the only advertisement allowed during the cooling-off period. These ads aren’t required and don’t have to be filed with the SEC. Tombstone ads contain a simple statement of facts about the new issue (the name of the issuer, type of security, number of shares or bonds available, underwriter’s name, and so on). In addition, tombstone ads often provide investors information about how to obtain a prospectus. Tombstone ads may or may not include the price of the security being offered. Tombstone ads are the only form of advertisement allowed prior to the effective date, although they may appear after the effective date. They must contain a disclaimer stating that the advertisement isn’t an offer to sell or a solicitation of an offer for any of these securities; this offer is made only through a prospectus.

Underwriters and selling group members use the *preliminary prospectus* to obtain indications of interest from prospective customers. The preliminary prospectus must be made available to all customers who are interested in the new issue during the cooling-off period. I talk more about what that prospectus has to include in “Getting the skinny on the issue and issuer: The prospectus” a little later in this chapter.

Holding the required due-diligence meeting

Toward the end of the cooling-off period, the lead underwriter holds a due-diligence meeting. This meeting is required by law. During this meeting, the underwriter provides information about the issue and what the issuer will use the proceeds of the sale for. This meeting is designed to provide such information to syndicate members (syndicate group or syndicate desk), selling group, brokers, analysts, institutions, and so on and allows them to ask questions.



The last time syndicate members can back out of an underwriting agreement is toward the end of the cooling-off period (around the time of the due-diligence meeting). You can assume that if syndicate members are backing out, the reason is most likely negative market conditions.

Registering with the states: Blue skies

All *blue-sky laws* — state laws that apply to securities offerings and sales — say that to sell a security to a customer, the broker-dealer (brokerage firm), the registered representative, and the security must be registered in the customer’s home state. The issuer is responsible for registering the security not only with the SEC, but also with the administrator in each state in which the securities are to be sold. Although the laws usually are quite similar, all states have their own securities laws, which are overseen by state securities regulators.

Here are the methods of state security registration:

- » **Notification (registration by filing):** Notification is the simplest form of registration for established companies. Companies that previously sold securities in a state can renew their previous application.
- » **Coordination:** This method involves registering with the SEC and states at the same time. The SEC helps companies meet the blue-sky laws by notifying all states in which the securities are to be sold. This type of registration is typically used for initial public offerings (IPOs).
- » **Qualification:** Companies use this registration method for securities that are exempt from federal (SEC) registration but require registration with the state through the State Administrator.

Roll call: Introducing the team players

The following list explains who's involved in the securities registration and selling process. Registered reps can work for any of these firms:

- » **Investment banking firm:** An *investment banking firm* is an institution (a broker-dealer) that's in the business of helping issuers raise money. You can think of investment bankers as being the brains of the operation. They help issuers raise money by providing advice for mergers, acquisitions, reorganizations, as well as selling securities. Because they help the issuer decide what securities to issue, how much to issue, the suggested selling price, and so on, they often underwrite the issue and become the managing underwriter in the offering of new securities.
- » **Underwriter:** An *underwriter* is a broker-dealer who helps the issuer bring new securities to the public. They take the financial risk and, therefore, receive an extra fee for taking that risk. Underwriters purchase the securities from the issuer and sell them to the public for a nice profit. (Yippee!)
- » **Syndicate (syndicate group or syndicate desk):** When an issue is too large for one firm to handle, the syndicate manager (managing underwriter) forms a *syndicate* to help sell the securities and relieve some of the financial burden on the managing underwriter. Each syndicate member is responsible for selling a portion of the securities to the public.
- » **Managing (lead) underwriter:** The *managing underwriter* (syndicate manager) is the firm that's responsible for putting together a syndicate and dealing directly with the issuer. The managing underwriter receives financial compensation (buckets of bucks) for every share sold.
- » **Selling group:** In the event that the syndicate members need more help selling the securities, they can recruit selling group members. These members are brokerage firms that aren't part of the syndicate. Selling group members help distribute shares to the public but don't make a financial commitment (that is, don't purchase shares from the issuer) and, therefore, receive less money per share when selling shares to the public.

Although corporations could use a bidding process to pick the underwriter for new issues, they typically choose the underwriter directly. This type of offering is called a *negotiated offering*. Because municipal general obligation (GO) bonds are backed by the taxes of the people in the community, the issuers are most likely to choose a *competitive offering* (bidding process) to ensure that they're getting the best deal for taxpayers. (This topic is covered in more detail in Chapter 8.)

Signing an agreement among underwriters

When an issuer hires an underwriter (dealer) to sell its securities to the public, the parties must sign an underwriting agreement. The underwriting agreement outlines, among other things, the method of distribution (firm commitment, best efforts, or standby; more on these options in the upcoming paragraphs).

The underwriting agreement is a contract between the issuer of the securities and the managing or lead underwriter. It must be agreed on and signed before any securities can be sold to the public. Now, for SIE purposes, you don't need to know all the details about the underwriting agreement, but you should have a basic understanding of the types of underwritings: firm commitment and best efforts.

Committing to the deal: Firm-commitment underwriting

In a firm-commitment underwriting, the lead underwriter and syndicate members (other underwriters who may be helping in the sale of the securities) agree to purchase all the securities that

remain unsold after the offering. In this case, the underwriter assumes all the financial risk and becomes more like a dealer in the broker/dealer comparison.

Another type of firm commitment offering is a standby. A standby underwriter signs an agreement with the issuer to purchase any stock not purchased by the public if and when an issuer has a rights offering. (See Chapter 10 for more on that topic.)

Taking your best shot: Best-efforts underwriting

In a best-efforts underwriting, the underwriter agrees to make its best effort to sell all the securities to the public. (Hey, that's how underwriters make money.) If, however, the underwriter can't sell all the securities to the public, the issuer has the right to cancel the offering or take back some of the unsold securities, depending on the type of offering:

- » **All-or-None (AON):** If the offering is set up as an AON agreement, all the securities must be sold by the deadline; otherwise, the deal is canceled, and the money must be returned to the investors.
- » **Mini-max:** A mini-max offering is one in which a specified minimum number of securities must be sold in order for the deal not to be cancelled. If that minimum threshold is reached, more securities may be sold up to the maximum amount is reached. The issuer will take back any securities that remain unsold.

You should be aware that if securities are sold on a best-efforts basis, purchasers and potential purchasers must be made aware that the offering could be canceled. Purchasers' money is held in an escrow account until the terms are met or the deal is canceled. When the specified number of securities is sold, the underwriter releases the securities to the purchasers. If the underwriter doesn't sell enough of the securities by the deadline, the purchasers get their money back.



REMEMBER

According to FINRA, "A member, in the conduct of its business, shall observe high standards of commercial honor and just and equitable principles of trade." So regardless of whether the securities offered during an IPO are sold on a firm commitment or best-efforts underwriting, it must be a *bona fide offering* of the securities at the public offering price. Firms can't hold back securities for themselves, associates, immediate family members, industry insiders, portfolio managers, and so on.

Getting the skinny on the issue and issuer: The prospectus

The issuer prepares a preliminary prospectus (sometimes with the help of the underwriter) that's sent in with the registration statement. The preliminary prospectus must be available for potential purchasers when the issue is in registration (during the cooling-off period) with the SEC. The preliminary prospectus is abbreviated, but it contains all the essential facts about the issuer and issue except the final public offering price (POP) and the *effective date* (the date when the issue will first be sold). (A broker-dealer *may not* accept payment for a new issue until the registration becomes effective.)



REMEMBER

A preliminary prospectus is sometimes called a *red herring*, not because it smells fishy (or is totally misleading and irrelevant), but because a statement in red letters on the cover of the preliminary prospectus declares that it's not the final version and that some items may change in the meantime. The statement is often in the margin and elsewhere.

The *final prospectus*, which is prepared toward the end of the cooling-off period, is a legal document that the issuer prepares, containing material information about the issuer and new issue of securities. The final prospectus has to be available to all potential purchasers of the issue. It includes

- » The final offering price
- » The underwriters' *spread* (the profit the underwriters make per share)
- » The *delivery date* (when the securities will be available)

Note: Because all mutual (open-end) funds, which I cover in Chapter 9, issue new securities constantly, they must always have a prospectus available. In addition, many mutual funds provide a *statement of additional information* (SAI), which provides more detailed information about the fund's operation that may be useful to some investors. A statement of additional information is also known as Part B of a fund's registration statement.

Counting the securities along the way

When a company issues securities that are traded in the market, someone has to be responsible for keeping track of the owners of the securities and someone has to make sure that the number of securities in the market isn't greater than it's supposed to be. These jobs are assigned to a registrar and a transfer agent:

- » **Registrar:** The *registrar* is an independent financial institution that works along with a company's transfer agent to maintain a record of stock and bond owners. The main function of a registrar is to make sure that the outstanding shares don't exceed the amount of stock the issuer authorizes under its corporate charter or bylaws (rules the company lives by).
- » **Transfer agent:** The *transfer agent* is a person or institution that maintains records of a corporation's stock and bond owners (much like a registrar) but also cancels and issues certificates as well as distributes dividends.



TIP

An easy way to keep these folks straight is to remember that a registrar is responsible for counting things, and a transfer agent is responsible for transferring or sending things.

Getting Up to Speed on the Types of Securities Offerings

Table 5-1 deals with the types of offerings that you (as a megabroker) should be familiar with. The offerings that follow usually require the services of an underwriter or underwriting syndicate to sell the securities to the public.

For unlisted IPOs (IPOs of non-NMS securities — securities that are not listed on an exchange or Nasdaq, in other words), a final prospectus needs to be available to all purchasers for 90 days after the effective date.

For IPOs of NMS securities (securities listed on an exchange or Nasdaq), a final prospectus must be available for 25 days after the effective date.

TABLE 5-1 Types of Securities Offerings

Type	Description	Who Benefits
Initial public offering	The first time an issuer sells stock to the public to raise capital; issuers usually hold back some stock for future primary offerings.	The bulk of the moolah raised goes to the issuer, and the rest goes to the underwriters.
Primary offering	An offering of new securities from a new issuer or an issuer that has previously issued securities; a company can have an initial public offering and several primary offerings if it wants to.	The proceeds of sale go to the issuer and underwriters.
Secondary offering	A sale of a large block of outstanding (stockholder-owned) securities or previously outstanding securities (Treasury stock, or stock the issuer has repurchased). Typically, one or more major stockholders of a corporation make the secondary offerings; new investors are essentially buying used, so the number of shares outstanding doesn't change.	The proceeds don't go to the issuer (except with Treasury stock); they go to the big shots who sell the securities.
Split (combined) offering	A combination of a primary and secondary offerings, with both new and outstanding securities.	A portion of the proceeds goes to the issuer, and a portion goes to the selling stockholders.

In the event that a member is acting as a dealer or has some other financial interest in recommending a security other than the commission received from the buyer, that fact must be disclosed in writing to the client at or before the completion of the transaction. So, in that regard, all buyers must be notified in writing if your firm is involved in a primary or secondary distribution of securities.

Reviewing Exemptions

Certain securities are exempt from registration because of the type of security or the type of transaction involved. You may find that those securities which are exempt because of who's issuing them are a bit easier to recognize. You'll probably have to spend a little more time on the securities that are exempt from registration because of the type of transaction.

Exempt securities

Certain securities are exempt from the registration requirements under the Securities Act of 1933. These securities come from issuers that either have a high level of creditworthiness, or it's the case that another government regulatory agency has some sort of jurisdiction over the issuer of the securities. These types of securities include

- » Securities issued by the U.S. government (Treasury bills, Treasury notes, Treasury bonds, and so on) or federal agencies
- » Municipal securities (local government bonds and notes)
- » Securities issued by banks, savings institutions, and credit unions
- » Public utility stocks or bonds
- » Securities issued by religious, educational, or not-for-profit organizations
- » Notes, bills of exchange, bankers' acceptances, and commercial paper (unsecured corporate debt securities with an initial maturity of 270 days or less)
- » Insurance policies and fixed annuities

Fixed annuities are not securities and are exempt from SEC registration because the issuing insurance company guarantees the payout. Variable annuities require registration, however, because the payout varies depending on the performance of the securities held in the separate account. For more info on annuities and other packaged securities, see Chapter 9.

Exempt transactions

Some securities that corporations offer may be exempt from the full registration requirements of the Securities Act of 1933 due to the nature of the sale. The following list shows these exemptions:



WARNING

» **Intrastate offerings (Rule 147):** An *intrastate offering* includes the *80% rule*. In order for a company to be eligible for the exemption, *at least 80% of the corporation's assets* must be in the state OR *at least 80% of the company's revenues* must be generated from *in-state business* OR *at least 80% of money raised* from the offering must be used in the state of the offering. In addition, at least 50% of the company's employees must work in the state of the offering. The securities still require registration at the state level and 100% of the purchasers must be within the state.

Don't confuse *intrastate* offerings (securities sold in one state) with *interstate* offerings (securities sold in many states). Interstate offerings do need SEC registration. To help you remember, think of an interstate roadway, which continues from one state to the next.

» **Regulation A (Reg A, Regulation A+, or Reg A+) offerings:** An offering of securities worth \$20 million or less (Tier 1) or \$75 million or less (Tier 2) within a 12-month period is Regulation A. Although this company may seem to be large to you, it's relatively small in market terms. Regulation A offerings are exempt from full registration requirements, but the issuer still has to file a simplified registration or abbreviated registration statement.

» **Regulation D (Reg D) offerings:** Also known as a *private placement* (private securities offering), a Regulation D offering is an offering to no more than 35 unaccredited (nonaccredited) investors per year. Companies that issue securities through private placement are allowed to raise an unlimited amount of money but are limited in terms of the number of unaccredited investors. Sales of Reg D securities are subject to the sales limitations set forth under Rule 144. All unaccredited (nonaccredited) investors must meet specific suitability requirements.

Persons who do not match any of the items on the following list, would be considered unaccredited. The list of who or what is considered to be an *accredited investor* recently expanded to include the following:

- Financial institutions (banks, insurance companies, pension funds, and so on)
- Insiders of the private placement issuer (officers, directors, and/or owners of 10 percent or more of the outstanding shares, as well as their immediate family members)
- Investors with a net worth of at least \$1 million, excluding primary residence
- Investors who have had a net income of at least \$200,000 (\$300,000 joint) for the previous two years and are expected to meet the requirement during the current year and going forward
- Corporations, partnerships, or organizations with a net worth of at least \$5 million
- Reps who are registered and in good standing with the SEC, FINRA, and/or at least one state who have passed the Series 7, Series 65, Series 66, and/or Series 82 exam
- Knowledgeable employees of private funds (hedge funds, private equity funds, and so on) who have the ability to raise money privately

- Rural business investment companies (investment companies that raise money to invest in small rural businesses)
- Limited liability companies (LLC) with more than \$5 million in assets
- Family offices with at least \$5 million in assets under management

» **Rule 144:** This rule covers the sale of restricted stock (such as stock sold through private placement), unregistered, and control securities (stock owned by control persons [affiliates], which includes directors, officers, or other people who own 10 percent or more of the issuer's voting stock). According to Rule 144, sellers of these securities must wait at least six months before selling the fully paid securities to the public. Additionally, the most an investor can sell at one time is 1 percent of the outstanding shares or the average weekly trading volume for the previous four weeks, whichever is greater.

» **Rule 144A:** This rule allows unregistered domestic and foreign securities to be sold to *Qualified Institutional Buyers* (QIBs) in the United States without a holding period. QIBs include insurance companies, registered investment companies, registered investment advisers, pension plans, corporations, partnerships, and so on.

To see if you are getting the hang of this, take a look at an example that deals with Rule 144.



EXAMPLE

John Bullini is a control person who purchased shares of restricted stock and wants to sell under Rule 144. John has paid fully for the shares and has held them for more than one year. There are 1.5 million shares outstanding. Form 144 is filed on Monday, May 28, and the weekly trading volume for the restricted stock is as follows:

Week Ending	Trading Volume
May 25	16,000 shares
May 18	15,000 shares
May 11	17,000 shares
May 4	15,000 shares
April 27	18,000 shares

What is the maximum number of shares John can sell with this filing?

- (A) 15,000
- (B) 15,750
- (C) 16,200
- (D) 16,250

The right answer is (B). The test writers often try to trick you on the SIE exam by giving you at least one week more than you need to answer the question. Because John has held the restricted stock for more than a year, John can sell 1 percent of the outstanding shares or the average weekly trading volume for the previous four weeks, whichever is greater:

$$1\% \times 1,500,000 \text{ shares outstanding} = 15,000 \text{ shares}$$

$$\frac{16,000 + 15,000 + 17,000 + 15,000}{4 \text{ weeks}} = \frac{63,000}{4 \text{ weeks}} = 15,750 \text{ shares}$$



WARNING

In this case, the previous four weeks are the top four in the list, but be careful, the examiners are just as likely to use the bottom four to give the table a different look.

Figure out 1 percent of the outstanding shares by multiplying the outstanding shares by 1 percent. (Easy, right?) In this case, you come up with an answer of 15,000 shares. The other possible answer is the average weekly trading volume for the previous four weeks. Add the trading volume for the previous four weeks (the top four in the chart) and divide by 4 to get an answer of 15,750 shares. Because you're looking for the greater number, the answer is (B).

Testing Your Knowledge

This chapter covers what you need to know about underwriting securities (at least as far as the SIE exam goes). When you're ready, use this section to attack some questions. Read carefully so that you don't make any careless mistakes and be sure to check your answers and understanding later in this section.

Practice questions

1. Which of the following agreements specify that any unsold securities are retained by the underwriters?
 - I. Firm commitment
 - II. All-or-none
 - III. Best efforts
 - IV. Mini-max

(A) I only
(B) II only
(C) I, II, and IV
(D) II, III, and IV
2. Which of the following are exempt transactions?
 - I. Private placements
 - II. Securities issued by the U.S. government
 - III. Intrastate offerings
 - IV. Commercial paper

(A) I and III
(B) I, II, and IV
(C) II and IV
(D) I, II, III, and IV

3. The trading volume for BBB Corporation for the previous five weeks is as follows:

March 31: 50,000 shares

March 24: 38,000 shares

March 17: 44,000 shares

March 10: 40,000 shares

March 3: 42,000 shares

BBB Corporation is listed on an exchange and has 4.2 million shares outstanding. What is the maximum number of shares an insider can sell under Rule 144 on April 4 of the following year?

(A) 41,000

(B) 42,000

(C) 43,000

(D) 44,000

4. Bullbear Broker–Dealer is managing an IPO that won’t be on the NYSE, Nasdaq, or any exchange. How long after the effective date must Bullbear provide a final prospectus to all purchasers of the security?

(A) 25 days

(B) 40 days

(C) 45 days

(D) 90 days

5. A preliminary prospectus would include which of the following?

I. An SEC disclaimer

II. The names of the officers of the issuing corporation

III. The public offering price

IV. An explanation of what the funds raised by the offering would be used for

(A) I and IV

(B) I, II, and IV

(C) II, III, and IV

(D) I, II, III, and IV

6. Which federal law regulates the initial sale of stock to the public?

(A) Securities Act of 1933

(B) Securities Exchange Act of 1934

(C) Trust Indenture Act

(D) All of the above

7. Which of the following may be included in a tombstone advertisement?

(A) The number of securities to be sold

(B) The issuer’s name

(C) All underwriters’ names

(D) All of the above

8. The post-filing cooling-off period usually lasts about
- (A) 20 days
 - (B) 30 days
 - (C) 45 days
 - (D) 90 days
9. At what point is a broker-dealer allowed to accept payment for a new issue?
- (A) After the customer has received the red herring
 - (B) Once the registration is effective
 - (C) During the cooling off period
 - (D) As soon as the registration statement has been filed
10. All of the following securities are exempt from registration under the Securities Act of 1933 EXCEPT
- (A) Treasury bonds
 - (B) general obligation bonds
 - (C) Eurodollar bonds
 - (D) ADRs

Answers and explanations

1. **A.** In a firm-commitment underwriting, all securities left unsold are retained by the underwriters. All-or-none and mini-max are actually best-efforts underwritings.
2. **D.** This one is tricky, because all the transactions are exempt. Regulation D private placements and intrastate offerings are exempt based on the type of transactions. But securities issued by the U.S. government and commercial paper are exempt based on the type of security.
3. **C.** Because the holding period has been met, the maximum number of shares that can be sold by an insider under Rule 144 is 1 percent of the outstanding shares or the average trading volume for the previous four weeks, whichever is greater. Check out the math:

$$1\% \times 4,200,000 = 42,000 \text{ shares}$$
$$\frac{50,000 + 38,000 + 44,000 + 40,000}{4 \text{ weeks}} = \frac{172,000 \text{ shares}}{4 \text{ weeks}} = 43,000 \text{ shares}$$

In this case, the previous four weeks were the top ones on the list, but be careful; they're just as likely to be the bottom four. In this case, the answer is 43,000 shares because it's larger than 42,000.

4. **D.** For IPOs, a final prospectus must be available to all purchasers for 90 days after the effective date.
5. **B.** All the choices would be in the preliminary prospectus (red herring) except the final offering price. The offering price at this point hasn't been determined. The offering price, the underwriting spread, and the delivery date would be included in the final prospectus.
6. **A.** The Securities Act of 1933 (Truth in Securities Act, Paper Act, Full Disclosure Act, Prospectus Act, or New Issues Act) regulates new issues of corporate stocks and bonds. Included in the act are rules to prevent fraud and deception, as well as rules about the issuer's providing information about itself and the securities being offered.
7. **D.** Tombstone advertisements may include the name of the issuer, the type of security being offered, the offering price (or approximate offering price), the names of the underwriters, and the number of securities being offered.
8. **A.** The cooling-off period is when an issuer files a registration statement with the SEC. During this time, the SEC reviews the registration statement to see whether it needs to be amended or additional information is needed. It typically takes 20 days for the SEC to review the registration statement. This period is sometimes referred to as the *20-day cooling-off period*.
9. **B.** After the registration is effective (the effective date), the broker-dealer is allowed to accept payments for the new issue.
10. **D.** U.S. Treasury securities (Treasury bonds, Treasury notes, Treasury bills, TIPS, and so on), municipal bonds (general obligation bonds, revenue bonds, and so on), and Eurodollar bonds are exempt from SEC registration. U.S. Treasury securities are backed by the federal government, and municipal bonds are backed by a state or local government. Eurodollar bonds are dollar-denominated bonds issued in Europe, and, therefore, must register in the country of issue. ADRs (American Depositary Receipts) are receipts for foreign securities traded in the United States and, therefore, must be registered in the United States.